results, that Dems did not win enough to change our direction.

Nov. 12

Spent most of the afternoon in another budget meeting. It's going to be a battle but we must make deeper budget cuts.

Nov. 18

Met with Sen. Baker and Rep. Bob Michel. They weren't as upset as I was prepared to see them re the economic situation and the election. Still they predicted tough going for much of what I feel we have to do in view of the continuing unemployment and the projected budget deficits.

Nov. 19

Back to Cabinet meeting on the budget. Our deficits are structural as well as recession-caused. We have a built-in increase in the budget which is automatic; we must deal with it.

Dec. 14

Spent most of the afternoon in a dismal economic briefing about the deficits and the little chance we have of getting further budget cuts. . . .

Maybe it's true, as some people say, that it's always darkest before dawn. Although I didn't realize it, when I wrote those last few entries the country had already begun the longest sustained economic expansion in peacetime history. Economic researchers say the turnaround began in November 1982, exactly one year after the first phase of the three-year, twenty-five-percent tax cut went into effect.

It took another year for the expansion to gain full momentum, but we were on our way: We had started the